

As with anything that can be bought and sold, forward contracts are traded in a market, known as the “futures market.” It’s not the commodities that are being bought or sold, but a promise to supply or to pay for them. These promises derive their value from the commodities and are called derivatives.

Dealers in foreign exchange markets also make forward contracts agreeing to buy or sell currencies at a set exchange rate on a set date, and these can also be traded. Derivatives can be made from almost anything that is bought or sold, when there’s a contract between buyer and seller.

